HUL's Scale Built an Empire. Now It Has to Build a Way Out.

Real Dilemma

HUL sells 27 billion sachets a year across 8 million retail outlets. Those sachets put shampoo in the hands of rural India and multi-layer plastic into its rivers, fields, and air. This deck shows HUL's board a path to 40–50% emissions reduction and 60% less plastic waste by 2035. It also shows exactly why the plan doesn't cost a single point of EBITDA margin if executed in the right order.

40–50%

Emission reduction

Target: total value chain by 2035

60%

Plastic intensity cut

Per unit sold — not absolute

>20%

EBITDA floor

Non-negotiable through every phase

MEET THE TEAM



Akshay Sinha
Product Management



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Growth Strategy



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Marketing Strategy

The same forces that gave HUL its scale sachets, diesel fleets, centralised plants are now its biggest environmental liabilities. You can't fix the one without reckoning with the other.

Four Problems. One Root Cause: Scale Without Sustainability Architecture.

HUL's value chain operates at a volume that most companies dream of. It also means that every inefficiency in packaging, sourcing, transport, manufacturing gets multiplied across billions of units.

Multi-Layer Plastic Sachets

27B

sachets/year

HUL alone

- MLP is technically non-recyclable — waste processors lose money on every sachet collected
- ~30% of regional plastic waste in some areas traceable to sachets
- EPR mandate means HUL is legally liable for every unit that isn't recovered
- Activist groups named Unilever a top sachet polluter in Asia (Break Free 2024)

Scope 3 Sourcing The Invisible 65%

~65%

of GHG footprint

sits upstream

- Palm oil, dairy, tea, agri inputs — fragmented supplier base, zero carbon data
- Scope 3 upstream = 70–75% of total Scope 3 for FMCG (McKinsey)
- Smaller suppliers lack the systems to even measure emissions
- Cannot hit 40–50% reduction without fixing this — it's mathematically impossible

Diesel-Heavy Logistics Network

80%+

last-mile still diesel

Tier 2/3 cities

- Primary, secondary, and last-mile all fossil-fuel dependent
- Fragmented rural routes → low vehicle utilisation → per-km emissions spike
- Fuel cost volatility = P&L risk that can be eliminated by switching
- HUL is exposed to fuel transition risk every year it delays the switch

Centralised Manufacturing Model

High

freight intensity

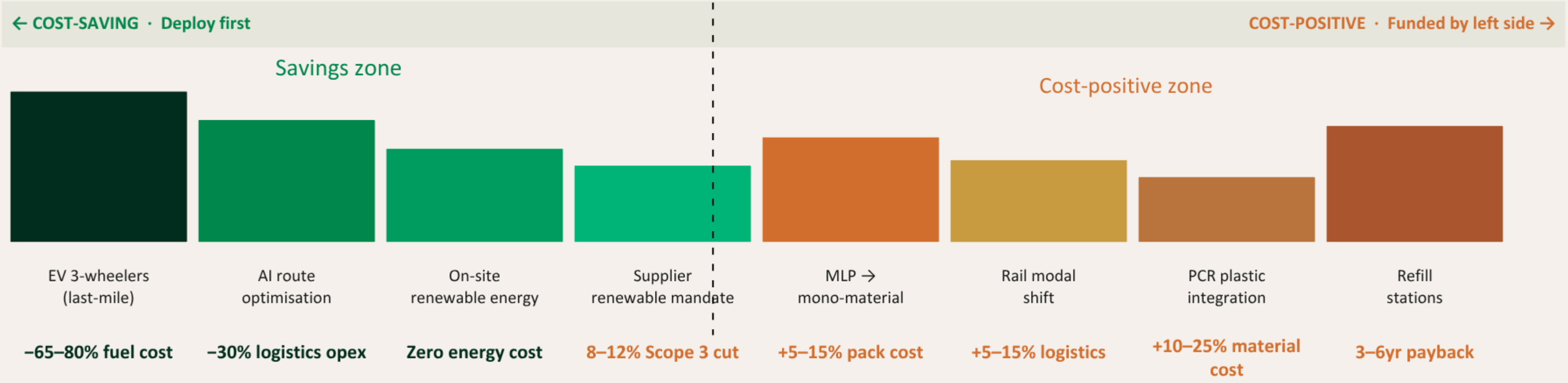
Cross-country shipments

- Centralised plants mean finished goods travel 1,000–2,000 km to reach consumers
- Long-haul increases inventory holding, working capital lock-in, and transport carbon
- A single network redesign (McKinsey case) cut logistics emissions by 18%
- Decentralising manufacturing is complex — but the return on emissions is real

Before recommending what to do, we had to answer the question every team skips: who absorbs the cost of going green and in exactly what order?

The Sequence Is the Strategy. Start With Levers That Make Money.

A Marginal Abatement Cost Curve (MACC) ranks every sustainability lever by what it costs to cut one tonne of CO_2. Left side: interventions that save money while reducing emissions. Right side: interventions that cost more but are still necessary. The rule is simple deploy the left side first. Those savings fund the right.



The central insight: do not ban the sachet.

Sachets exist because rural India cannot afford bottles. Eliminating them destroys the rural business. The strategy is to make them circular mono-material (recyclable), EPR-collected, PCR-recycled not to remove them.

This transition is EBITDA-positive in year one.

EV + routing alone saves ₹200–300 Cr/yr in fuel and logistics opex. That funds the ₹90–140 Cr/yr cost premium of sustainable packaging. The sequencing means HUL is never in the red on this transformation.

Three specific moves, in a specific order each one creates the conditions for the next, and together they hit every target the board has set.

The Transformation Has Three Pillars. Sequence Is Everything.

These aren't separate workstreams. Pillar 1 generates the EPR infrastructure. Pillar 2 generates the operating savings. Pillar 3 generates the supplier baseline data. All three feed each other.

01 Circular Packaging System

TARGET: −60% plastic by 2035

Yr 0–3
Phase out MLP in top-volume SKUs → mono-material (all-PE / all-PP). Same price, recyclable.

Yr 1–3
Build EPR collection via Shakti network (100K distributors). Collect sachets, earn EPR credits, fund Lucro Plastecycle feedstock.

Yr 3–5
Refill stations in urban Kirana outlets. Smartfill dispenser (<USD 50/unit). Shakti as refill distributor.

Yr 5+
PCR plastic integration at 30%+. Bio-based packaging R&D begins. Full circular ecosystem.

Key principle
Rural sachets are NOT eliminated in H1. They become circular — different material, same price point, same access.

02 Green Logistics Stack

TARGET: −15% of total chain emissions

Month 1
AI route optimisation deployed. Empty miles eliminated. Saves ₹50–100 Cr/yr — zero capex beyond software.

Yr 0–2
EV 3-wheelers for Tier 1 last-mile. ₹0.5–₹1.8/km vs. ₹3.5–₹4.2/km diesel. 65–80% emission cut on those routes.

Yr 1–3
CNG bridge fuel for medium-haul and Tier 2/3. Immediate 25–30% reduction vs. diesel, lower capex than EV.

Yr 3–5
Rail linehaul corridors for primary freight. 70–80% emission cut vs. road on those routes. PepsiCo model replicated.

Key principle
EV + routing saves ₹150–200 Cr/yr in fuel opex. This is the engine that funds the rest of the transformation.

03 Supplier Decarbonisation Programme

TARGET: −20% Scope 3 upstream by 2035

Yr 0–2
Mandatory carbon baseline for all Tier 1 suppliers. Deploy digital traceability for palm oil, tea, agri inputs. Know the number first.

Yr 1–3
ESG-linked procurement contracts. Long-term supply agreements as carrot for suppliers who hit renewable energy targets.

Yr 2–4
Regenerative agriculture partnerships for tea and tomato farmers. Soil carbon sequestration as co-benefit.

Yr 3–6
Dual-mission sourcing: lowest carbon intensity, not just lowest price. Supplier scorecards include carbon alongside cost and quality.

Key principle
Scope 3 is 65% of the footprint. You cannot reach 40–50% total reduction without this pillar. It is non-optional.

The transformation is EBITDA-accretive in Horizon 1. That's not optimism it's a sequencing decision. Start with the levers that save money before spending it.

The Math Works. Here's How the Money Actually Flows.

HUL's EBITDA sits at ~22–23% today (FY25), under pressure from raw material inflation. The case requires it stays above 20% throughout. Our model shows it does and in H1, it actually improves.

Horizon 1 · Yr 0–3

Quick wins. Savings lead.

SAVINGS

EV fleet fuel savings	₹150–200 Cr/yr
AI route optimisation	₹50–100 Cr/yr
Renewable energy (done)	₹20–40 Cr/yr

ADDITIONAL COSTS

Mono-material packaging	+₹60–90 Cr/yr
Supplier carbon programme	+₹30–50 Cr/yr
EPR infra build	+₹20–40 Cr/yr

+₹70–210 Cr net

EBITDA impact: +30–60 bps · EBITDA improves

Horizon 2 · Yr 3–7

Scale. Higher capex, balanced.

SAVINGS

EV fleet (scaled)	₹250–350 Cr/yr
Rail modal savings	₹50–80 Cr/yr
Network redesign savings	₹40–70 Cr/yr

ADDITIONAL COSTS

Refill station rollout capex	₹80–120 Cr/yr
PCR integration premium	+₹50–80 Cr/yr
Regional mfg clusters	₹100–150 Cr/yr

Approx. margin-neutral

EBITDA impact: ±0 to +20 bps · Stable above 20%

Horizon 3 · Yr 7–10

Premium + structural advantage.

SAVINGS

Lucro/EPR credit revenue	₹30–60 Cr/yr
Full EV network efficiency	₹300–400 Cr/yr
PCR at scale (cost parity)	Neutral vs. virgin

ADDITIONAL COSTS

Bio-based packaging R&D	₹20–40 Cr/yr
Clean chemistry sourcing	+₹15–30 Cr/yr
Net-zero logistics capex	₹30–50 Cr/yr

+₹250–390 Cr net

EBITDA impact: +20–40 bps · Premium ESG valuation

BCG: 25% of companies see 7%+ of revenue in decarbonisation benefits (~USD 200M avg). This is not a cost programme. It is a value creation programme.

By 2035, HUL won't just be more sustainable — it will own three structural assets that competitors cannot replicate, turning sustainability into a genuine barrier to entry.

The 10-Year Roadmap — and the Three Moats It Builds.

Horizon 1 · 2025–2028

- EV 3-wheelers deployed in Tier 1/2 cities
- AI route optimisation — all routes
- MLP → mono-material in top 40% of SKUs by volume
- EPR collection network built via Shakti
- Supplier carbon baseline for Tier 1 (all)
- CNG bridge fuel for Tier 3 logistics

–20% emissions vs. baseline
–25% plastic intensity
EBITDA: +30–60 bps

Horizon 2 · 2028–2032

- Refill stations scaled to 5,000+ urban Kirana
- Rail modal shift on primary freight corridors
- PCR plastic at 30%+ of flexible packaging
- ESG-linked contracts with all Tier 1 suppliers
- Regional manufacturing clusters piloted
- Sustainable palm oil traceability: 100%

–40% emissions vs. baseline
–50% plastic intensity
EBITDA: stable ≥ 21%

Horizon 3 · 2032–2035

- Bio-based packaging pilots on premium SKUs
- Full EPR circularity Lucro feedstock integration
- Net-zero logistics fleet (Tier 1/2/3)
- Clean chemistry sourcing pilots at scale
- Full supplier SBTi alignment (top 80% by spend)
- Carbon-neutral water operations in all factories

–50% emissions vs. baseline
–60% plastic intensity
EBITDA: +20–40 bps premium

The Three Structural Moats This Transformation Builds

EPR Collection Network
Built ahead of enforcement: HUL earns EPR credits, competitors pay fines. Shakti reverse-logistics is non-replicable by any new entrant.

PCR Feedstock Supply Chain
Lucro Plastecycle stake = captive recycled plastic supply. As virgin plastic costs rise under regulation, HUL's input advantage widens annually.

Shakti as Refill Distribution
100K micro-entrepreneurs already sell HUL. Converting them to refill agents is incremental for HUL impossible to replicate for any competitor from scratch.

Appendix A: Full MACC — All 9 Intervention Levers

Ordered from most cost-effective (cost-saving) to most expensive per tonne of CO_2 abated. Levers 1–4 fund Levers 5–9.

#	Intervention	Carbon Impact	Cost Impact	EBITDA Impact	Payback Period	Zone
1	AI route optimisation + empty mile elimination	−10–15% logistics emissions	Saves ₹50–100 Cr/yr	+15–30 bps	6–12 months	**Cost-saving**
2	EV 3-wheeler fleet (last-mile, Tier 1/2)	−60–80% last-mile emissions	Saves ₹150–200 Cr/yr	+20–40 bps	12–24 months	**Cost-saving**
3	On-site renewable energy (done by HUL)	~97% Scope 2 eliminated	Saves ₹20–40 Cr/yr	+10–20 bps	5–7 years	**Cost-neutral**
4	Supplier renewable energy mandate	−8–12% Scope 3 upstream	Low (incentive cost)	+5–10 bps	3–5 years	**Cost-neutral**
5	MLP → mono-material sachet transition	−15–25% packaging emissions	+₹60–90 Cr/yr	−20–40 bps	Offset via EPR	**Cost-positive**
6	Rail modal shift (long-haul primary freight)	−70–80% on shifted routes	+₹20–40 Cr/yr	+5–15 bps net	3–5 years	**Cost-positive**
7	PCR plastic integration (30%+ of flexible pack.)	−20–30% lifecycle emissions	+₹50–80 Cr/yr	−30–60 bps	2–5 years	**Cost-positive**
8	Refill station infrastructure (5,000+ outlets)	−60–80% per-use packaging	+₹80–120 Cr/yr capex	−50–100 bps ST	3–6 years	**Cost-positive**
9	Bio-based / compostable packaging (R&D + pilot)	−40–60% lifecycle emissions	+100–200% vs. current	Niche only FY30+	7–10+ years	**Transformative**

Source: McKinsey Scope 3 Report (2024) · BCG Carbon Abatement Survey (2024) · Praxis Global Alliance EV TCO India (2025) · HUL BRSR FY2024-25

Appendix B: Assumptions, Sensitivities & Sources

KEY ASSUMPTIONS

- EV TCO (3-wheeler): ₹0.5–₹1.8/km vs. ₹3.5–₹4.2/km diesel · Source: Praxis Global Alliance (2025)
- EV TCO (small 4-wheeler): ₹7.5–₹9/km vs. ₹9.5–₹10.5/km diesel · Source: Praxis Global Alliance (2025)
- Route AI savings: 20–30% logistics cost reduction · Source: McKinsey Supply Chain Decarbonisation
- Mono-material premium: +5–15% vs. current MLP packaging cost · Industry benchmark
- PCR plastic premium: +10–25% vs. virgin plastic · India Plastics Pact / TERI estimates
- Refill dispenser capex: <USD 50 / unit · Smartfill / Unilever Transform open-source design
- Scope 3 upstream share: 65–70% of total GHG footprint · McKinsey FMCG benchmark

SOURCES

HUL BRSR FY2024-25:
Scope 1/2 reduction, renewable energy, EV deployment, EPR status, Shakti network, Lucro Plastecycle st

McKinsey (2024):
Supply chain decarbonisation, Scope 3 breakdown, retail emissions, route optimisation savings

BCG Carbon Survey (2024):
Consumer cost impact (1–4%), company decarbonisation benefits (7%+ of sales for top quartile)

Praxis Global Alliance (2025):
India EV TCO analysis — 3-wheeler and 4-wheeler fleet economics vs. diesel

PepsiCo India (March 2026):
EV Green Corridor deployment — 8 electric container trucks, 400+ distributor EVs, CNG fleet in NCR

India Plastics Pact / TERI:
PCR plastic supply landscape, flexible plastic recyclability, Creasolv technology data

FICCI (2024):
EPR liability estimate — USD 133 billion uncollected plastic waste by 2030

Break Free From Plastic (2024):
HUL sachet volume — brand audit data; top polluter ranking in Asia

Smartfill / Unilever Transform:
Open-source refill dispenser at <USD 50/unit; pilot deployment data

SBTi / CDP (2024):
Science-based targets framework; corporate emissions reporting standards

India Logistics Report (2025):
Green logistics market: USD 48.85B (FY25) → USD 88.55B (FY33) at 7.72% CAGR

SCAN TO ACCESS FINANCIAL MODEL & IMPACT

THANK YOU